Westgate Valuation Advisory

Property valuation and advisory | Sydney Melbourne Brisbane

Elan West BTR
Stabilised Valuation

Independent market valuation of a completed 188 apartment build-to-rent asset at 41 Darcy Road

Prepared for the proposed senior lender, credit assessment

Prepared by Westgate Valuation Advisory

Valuation date 19 August 2025

Version 1.0 (final)

Reference: WVA-VAL-2025-0819-EW

Date: 19 August 2025

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Borrower / owner	Elan West BTR Pty Ltd (ABN 46 975 038 650)
Sponsor	Elan Living Group Pty Ltd (trading as Elan Living)
Property	Elan West, 41 Darcy Road, Westmead NSW 2145
Local government area	City of Parramatta
Registered office	Level 9, 33 Marsden Street, Parramatta NSW 2150
Interest valued	Freehold, fully leased and operating, as stabilised
Valuation date	19 August 2025
Prepared by	Westgate Valuation Advisory
Document reference	WVA-VAL-2025-0819-EW, Version 1.0

Report details

1. Executive summary

Westgate Valuation Advisory has been asked to assess the market value of Elan West, a completed build-to-rent residential building of 188 apartments at 41 Darcy Road, Westmead, owned by Elan West BTR Pty Ltd. The valuation supports a proposed A$74.0M senior secured stabilised investment facility, interest only, over a 36 month term, to refinance an existing construction-to-term facility of A$72.4M and fund A$1.6M of establishment fees, transaction costs and hedging set-up.

We assess the market value of the freehold interest, as stabilised and fully operating, at A$117.5M as at 19 August 2025. The value is derived primarily by the capitalisation of net operating income of A$6.35M at a rate of 5.40%, and is supported by direct comparison with recent build-to-rent transactions in Western Sydney and by a discounted cash flow cross-check.

Measure	Result
Market value (as stabilised)	A$117.5M
Net operating income	A$6.35M
Adopted capitalisation rate	5.40%
Value per apartment	A$625,000
Value per sqm NLA	A$9,948
Value per sqm GFA	A$7,630
Loan to value ratio (A$74.0M)	63.0%

Valuation summary

The adopted rate of 5.40% sits within the range of 4.75% to 5.60% indicated by six comparable transactions. The lower end of that range is represented by a larger, newer asset in the Parramatta CBD, and we have not adopted it for Elan West. A rate of 4.75% applied to the subject net income would indicate A$133.7M, which we regard as unsupported for a single building on the Westmead fringe of the core Parramatta market. The sensitivity analysis in section 8 shows the effect of rates from 4.75% to 5.90%.

The principal valuation sensitivity is the capitalisation rate. A softening of 50 basis points to 5.90% would reduce value by about A$9.9M to A$107.6M and lift the loan to value ratio to 68.8%.

2. Instructions, basis and sources

2.1 Instructions and basis of value

Market value is the estimated amount for which an interest in real property should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where each party acted knowledgeably, prudently and without compulsion. The valuation has been prepared with regard to the Australian Property Institute valuation standards and the International Valuation Standards. The asset is valued as a completed, stabilised, income producing investment. No allowance is made for goods and services tax, and the value is stated net of purchaser's costs.

2.2 Information relied upon

- Information memorandum dated 4 August 2025, including rent roll, operating history and sponsor background.
- Quantity surveyor report by Brannigan Tait Quantity Surveyors Pty Ltd dated 15 August 2025, confirming total development cost of A$101.5M, including land at A$38.5M.
- A rent roll and trailing twelve month operating statement provided by Elan Living Operations Pty Ltd, the property manager.
- Westgate's inspection of the building, amenity areas, retail tenancy and basement parking, and review of Western Sydney transaction and rental evidence.

The audited financial statements (due 12 September 2025), September management accounts (due 30 September 2025) and the lender's term sheet (expected 17 October 2025) were not available at the valuation date. Income has therefore been assessed from the rent roll and the operating statement provided by the manager, and we recommend these be reconciled to the audited accounts when issued. The formal lender valuation by Halvorsen Pryce Valuers Pty Ltd is due on 22 August 2025. This report is independent of that valuation and does not rely on it.

3. The property

3.1 Description

Elan West reached practical completion on 21 August 2023 and an occupation certificate was issued on the same date. The building holds 188 apartments, ground floor retail, resident amenity space and basement parking, with approximately 15,400 sqm of gross floor area and 11,812 sqm of net lettable residential area. First residents moved in during September 2023. Lease-up was completed on 28 June 2024 with occupancy above 90%, and occupancy has been sustained above 95% since the September 2024 quarter. Occupancy at the valuation date is 95.3%.

Apartment type	Number	Avg rent (A$/wk)	Annual rent (A$000)
Studio	24	640	799
One bedroom	78	790	3,204
Two bedroom	72	1,000	3,744
Three bedroom	14	1,270	925
Total / weighted average	**188**	**887**	**8,672**

Apartment mix and passing rents at full occupancy (totals subject to rounding)

3.2 Tenure, planning and history

The site was acquired by Elan West BTR Pty Ltd on 15 November 2019 for A$38.5M. Development consent for a 188 apartment residential flat building with ground floor retail was granted by the Sydney Central City Planning Panel on 10 December 2020. Construction began on 6 April 2021 under a lump sum design and construct contract. The building is held for long-term rental income and is managed by Elan Living Operations Pty Ltd under a management agreement with the sponsor. We have assumed a single title with no encumbrances that would affect value, and that all certificates and approvals for lawful occupation are in place. Legal due diligence has not formed part of our scope.

3.3 Condition and defects

The building is less than two years old and appeared well maintained on inspection. Residual defects liability and statutory warranty matters remain open under the NSW building reforms until the end of the defects period. We have assumed that rectification costs are borne by the builder or covered by warranty and that no material latent defect exists. The quantity surveyor report does not identify a cost to complete.

4. Location and market

4.1 Location

Elan West sits within the Westmead health and education precinct, close to Westmead Hospital, the University of Sydney Westmead campus and the Parramatta Light Rail. The precinct is one of the largest concentrations of healthcare and research employment in Sydney, and the proximity to rail and light rail gives residents access to the Parramatta CBD and the broader metropolitan network. Rental demand is anchored by hospital staff, university staff and students, and professionals employed in Parramatta.

4.2 Market conditions

Western Sydney BTR has moved from an emerging asset class to one with a consistent transaction record. Investors are paying for stabilised income, institutional style operation and long hold potential. Yields in the Parramatta CBD and Sydney Olympic Park have compressed relative to outer corridors, and pricing for assets in Blacktown and Liverpool remains wider. Westmead sits between these markets, with proximity to a major employment node but a smaller residential catchment than the CBD.

New BTR supply is expected in Parramatta and Westmead over 2025 to 2027. We expect this to moderate rental growth and to raise the importance of retention and amenity in the short term. We have not assumed rental growth above inflation in the capitalisation of current income. We assess market rent for the apartment mix at A$880 to A$895 per week, so the passing average of A$887 is at market.

5. Income and expenses

Net operating income has been assessed from the rent roll, the trailing operating statement and our market view. Revenue of A$8.70M comprises residential rent at 95.3% occupancy and other income from the ground floor retail tenancy, parking, storage and amenity bookings. Operating expenses are A$2.35M, or 27.0% of revenue, resulting in net operating income of A$6.35M. This is consistent with an EBITDA of A$6.35M.

Item	A$000	% of revenue
Gross residential rent (full occupancy)	8,672	99.7
Less vacancy (4.7%)	(408)	(4.7)
Net residential rent	8,264	95.0
Retail, parking, storage and other income	436	5.0
Total revenue	8,700	100.0
Operator and on-site staff	(640)	(7.4)
Land tax	(360)	(4.1)
Repairs and maintenance	(330)	(3.8)
Council rates and water	(310)	(3.6)
Utilities and cleaning	(280)	(3.2)
Insurance	(220)	(2.5)
Marketing and leasing	(120)	(1.4)
Other	(90)	(1.0)
Total operating expenses	(2,350)	(27.0)
Net operating income	**6,350**	**73.0**

Assessed stabilised income and expenses (percentages may not sum due to rounding)

The 27.0% expense ratio is within the range we would expect for a BTR building of this scale with an on-site operator, noting that the building is new and repairs and maintenance should rise as warranties expire. Net operating income is stated before any capital expenditure reserve. We have reflected capital replacement through the choice of capitalisation rate and an explicit reserve of A$1,000 per apartment per annum in the discounted cash flow.

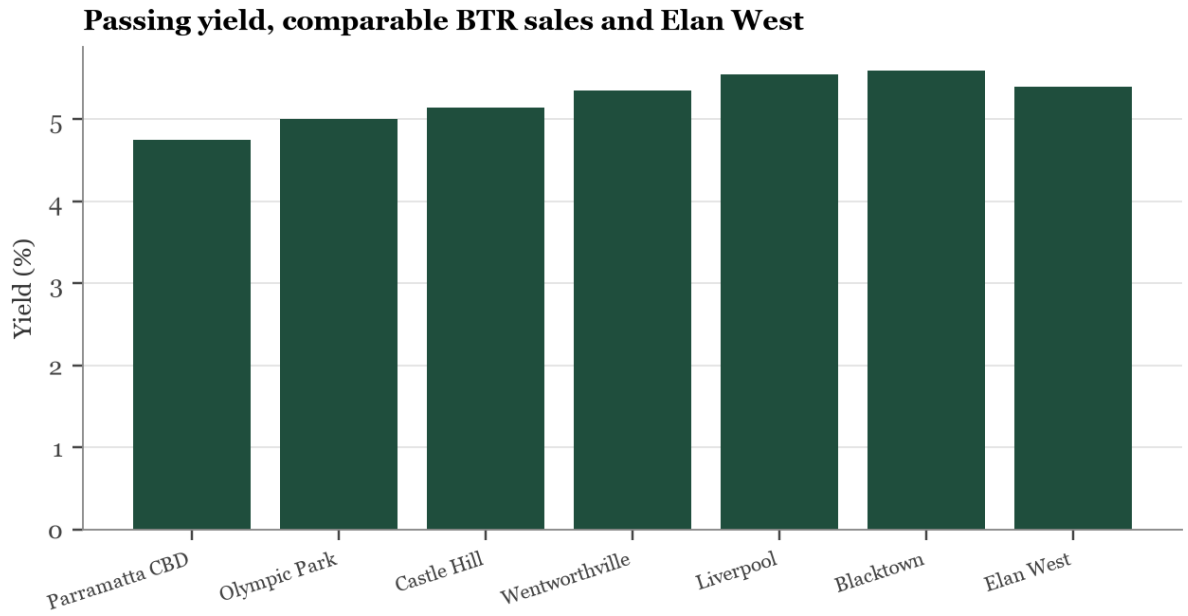
Net operating income of A$6.35M equates to A$33,800 per apartment, and a yield on total development cost of A$101.5M of 6.26%.

6. Comparable transactions

We have reviewed six transactions of stabilised or near stabilised BTR assets in Western Sydney over the last twelve months. The passing yield is net income at the time of sale divided by price. Adjustments for location, age, scale, amenity and tenancy mix have been considered qualitatively, because the sample is small and differences between assets are significant.

Asset and location	Sale	Apts	Price (A$M)	A$000/apt	Yield (%)
Parramatta CBD tower	Nov 2024	312	262.0	840	4.75
Sydney Olympic Park	Mar 2025	226	158.2	700	5.00
Castle Hill	Jan 2025	180	123.3	685	5.15
Wentworthville	Jun 2025	164	96.8	590	5.35
Liverpool	Sep 2024	148	84.0	568	5.55
Blacktown	Feb 2025	205	112.7	550	5.60
Elan West (valuation)	Aug 2025	188	117.5	625	5.40

Comparable BTR transactions, Western Sydney, with the subject for reference



Elan West is positioned between the Wentworthville and Liverpool transactions.

6.1 Analysis

The Parramatta CBD tower sold at the lowest yield, 4.75%, and the highest value per apartment, A$840,000. It is larger, in the core of the CBD and has stronger amenity, so we treat it as a ceiling for the market and not as direct evidence for Westmead. Sydney Olympic Park and Castle Hill sold at 5.00% and 5.15% and A$700,000 and A$685,000 per apartment, reflecting more established residential catchments and newer or larger product.

The closest comparables are Wentworthville at 5.35% and A$590,000 per apartment, and Liverpool at 5.55% and A$568,000 per apartment. Elan West has a stronger employment anchor than Liverpool and a newer building than Wentworthville, but a smaller scale than the larger transactions. A rate of 5.40% and A$625,000 per apartment sits above the Wentworthville and Liverpool pricing, which we consider appropriate given the hospital and university anchor and the building quality. It sits below the Olympic Park and Castle Hill values per apartment, reflecting their larger average apartment size and stronger submarket depth.

7. Valuation

7.1 Capitalisation of net income

We adopt a capitalisation rate of 5.40% applied to stabilised net operating income of A$6.35M. This produces A$117.6M, which we round to A$117.5M. The rate reflects the quality and age of the building, 95.3% occupancy, an operator-managed model, and the exposure to a single precinct and a single asset. We consider a rate range of 5.25% to 5.55% reasonable (A$121.0M to A$114.4M).

7.2 Discounted cash flow cross-check

We prepared a ten year cash flow starting from net operating income of A$6.35M, with income growth of 2.5% per annum, a capital reserve of A$1,000 per apartment per annum, a discount rate of 7.25% and a terminal capitalisation rate of 5.75%, with selling costs of 1.5%. The result is A$119.3M, which is 1.5% above the adopted value. We regard this as supportive of the capitalisation approach and have not adjusted the adopted value upward.

7.3 Direct comparison

The adopted value equates to A$625,000 per apartment and A$9,948 per sqm of net lettable area. This is within the range of A$550,000 to A$840,000 per apartment from the comparable set, and within A$35,000 per apartment of the Wentworthville and Liverpool pricing, adjusted for quality and location.

7.4 Value against cost

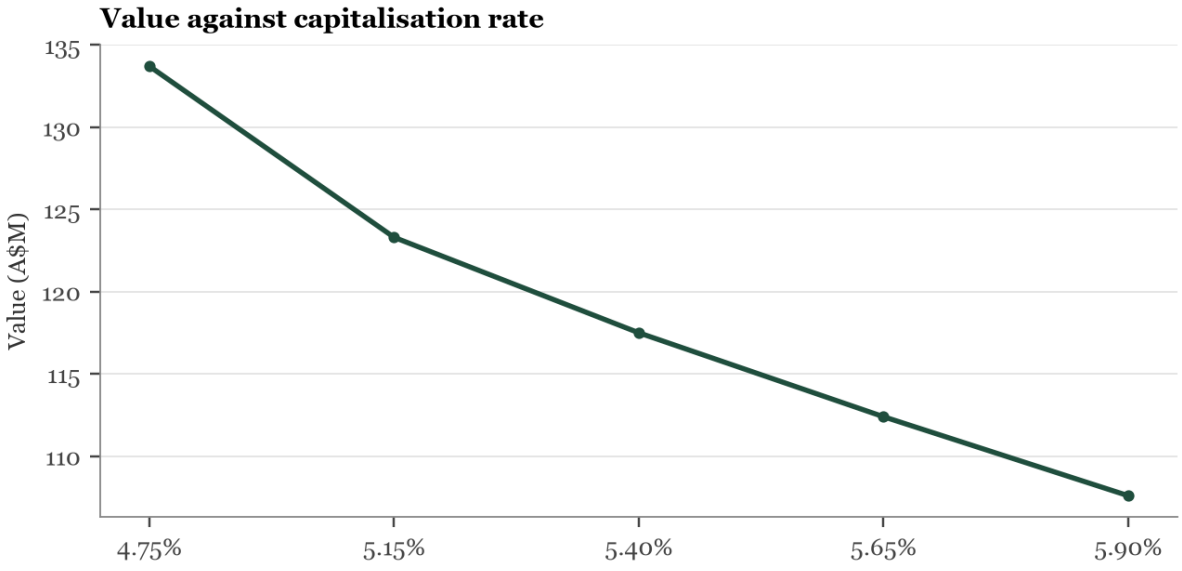
The adopted value is A$16.0M above the total development cost of A$101.5M, a margin of 15.8%. Land at A$38.5M accounts for 32.8% of the adopted value. The yield on cost of 6.26% against the adopted capitalisation rate of 5.40% is a spread of 86 basis points, which indicates that the development outcome supports the value but that the value is not dependent on the cost basis.

8. Sensitivity analysis

The table below shows the effect of changes in the capitalisation rate on value and on the loan to value ratio of the proposed A$74.0M facility, holding net operating income at A$6.35M.

Cap rate (%)	Value (A$M)	Change (A$M)	LVR (%)
4.75	133.7	+16.2	55.3
5.15	123.3	+5.8	60.0
5.40 (adopted)	117.5	0.0	63.0
5.65	112.4	(5.1)	65.8
5.90	107.6	(9.9)	68.8

Capitalisation rate sensitivity at net operating income of A$6.35M



Value at net operating income of A$6.35M.

Value would fall to the point where the LVR reaches 70% at a value of A$105.7M, which corresponds to a capitalisation rate of 6.01%. A fall in net operating income of 5%, to A$6.03M, at the adopted 5.40% rate would reduce value to A$111.7M and lift the LVR to 66.3%.

9. Credit-relevant observations

These observations are limited to matters that follow directly from the valuation and do not constitute a credit opinion.

Metric	Result	Basis
Facility limit	A$74.0M	Proposed, interest only
LVR	63.0%	A$74.0M on A$117.5M
Debt yield	8.6%	A$6.35M on A$74.0M
Net debt	A$71.9M	A$74.0M less cash A$2.1M
Net debt to EBITDA	11.3x	A$71.9M on A$6.35M
Interest cover (ICR)	1.33x	A$6.35M on A$4.77M interest

Quillwood derived from the valuation (interest at an indicative all-in rate of 6.45% per annum)

Interest of A$4.77M assumes an all-in rate of 6.45% per annum, being 3 month BBSW of 3.60% plus a margin of 2.85%, applied to the full A$74.0M. Leverage of 11.3x EBITDA and ICR of 1.33x leave limited headroom to a rise in base rates on the unhedged portion of the debt. The proposal for a minimum of 75% of drawn debt to be hedged would reduce, but not remove, this exposure.

10. Key valuation risks

- Capitalisation rate and exit risk: the adopted rate of 5.40% reflects current investor demand for stabilised BTR. A softening of 50 basis points would reduce value by roughly A$10M and lift the LVR to about 69%.
- Rental and occupancy risk: the value assumes average rents of about A$887 per week and occupancy of 95.3%. New BTR supply expected in Parramatta and Westmead over 2025 to 2027 may limit rental growth or increase incentives.
- Concentration risk: the asset is a single building, and demand relies on healthcare and university employees in the Westmead precinct.
- Operator risk: income and cost control depend on Elan Living Operations Pty Ltd for leasing, operating cost control and resident retention.
- Defects and compliance risk: residual defects liability and statutory warranty matters remain under the NSW building reforms until the end of the defects period.
- Information risk: audited accounts and management accounts were not available at the valuation date, so income is based on manager provided data.

11. Assumptions and qualifications

- The valuation is of the freehold interest on the assumption of vacant possession of the unlet apartments and that all existing residential and retail leases are on the terms provided in the rent roll.
- We have not undertaken a structural, environmental, contamination or services investigation. We have assumed the building is free of material defects other than those disclosed.
- Floor areas have been taken from the information memorandum and the quantity surveyor report and have not been independently measured.
- Comparable transaction details are from market sources and agent enquiries and have not been verified against contracts of sale.
- Market evidence is limited in number and in comparability, and the valuation is subject to the uncertainty inherent in a small transaction set. We recommend the valuation be updated if it is relied on more than three months after the valuation date or if interest rates or the capitalisation rate environment move materially.
- This report is for the use of the addressee and the stated purpose only. Westgate Valuation Advisory accepts no liability to any other party.

12. Valuation conclusion

On the basis of the information and assumptions set out in this report, we assess the market value of the freehold interest in Elan West, 41 Darcy Road, Westmead NSW 2145, as stabilised and as at 19 August 2025, at A$117,500,000 (one hundred and seventeen million, five hundred thousand dollars), exclusive of GST.

Prepared by	Westgate Valuation Advisory
Report date	19 August 2025
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Version	1.0 (final)
Reviewed by	Senior Valuer, Westgate Valuation Advisory

Sign-off